DEEPSTACK The Buildout · Part 06 · Memo

POWER

Power Doesn't Depreciate. Its Premium Moves.

Electricity is the constraint, but the premium belongs to whoever can secure permission, build on time and turn a megawatt into revenue before demand catches up.

By DeepStack · September 19, 2026 · Power · 9 min read on the page · deepstack.ltd/stories/power-doesnt-depreciate/

THE DEEPSTACK CALL

Constructive Long access, not hardware

This is a power-access trade before it is a chip trade. Own the permit and the interconnect, not the loudest fleet.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Value AI sites on connected megawatts, never on contracted ones.
2. Pay for delivery speed: Bloom's 55-day timeline is where the premium lives.
3. Mark down GPUs parked behind late interconnections; they generate cost, not rent.

WHAT WOULD CHANGE OUR MIND

- The speed-to-power premium narrows while power stays scarce.
- Recontracting fails across older fleets, or a hyperscaler cancels because compute is sufficient.

THE FULL ARGUMENT

DeepStack's view is that the AI build-out is a power-access trade before it is a chip trade. The highest-value asset is a permitted, connected, reliable site that can turn a contracted megawatt into revenue; the Nebius spread, Bloom's 55-day timeline and the contrast between contracted and connected power all point there. The key reason is that a megawatt generates rent only when it arrives on schedule, while a GPU parked behind a late interconnection generates cost. We would change our mind if the premium narrows while scarce power persists, if CoreWeave-style recontracting fails across older fleets, or if a hyperscaler cancels because compute is sufficient. Until then, the winner is whoever controls permission and delivery, not whoever owns the loudest hardware fleet.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Long access, not hardware	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Sep 19, 2026	Long access, not hardware	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

$20–25M
Nebius one-to-three-year price
Michael Burry, August 12 trading post

$40–50M
Nebius six-month price
Michael Burry, August 12 trading post

23 GW
NVL72 deployment need
Daniel Romero, 2027 estimate at full use

-7.9%
Construction ex-data centers
Michael Burry citing Apollo, June year over year

WHO IS ON EACH SIDE

Is power scarcity a warning, or a moat?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: `deepstack.ltd/sides/power-doesnt-depreciate/`

7 VOICES

Scarcity as a warning

Michael Burry Aug 12, 2026

Nebius's own disclosed terms show compute in backwardation: 20 to 25 million dollars per megawatt on one-to-three-year contracts against 40 to 50 million per megawatt for capacity of up to six months; buyers paying twice the rate for near-term use…

`michaeljburry.substack.com/p/trading-post-august-12-2026`

Michael Burry Aug 21, 2026

GDP growth is heavily reliant on the data center buildout, evidenced by private non-residential construction excluding data centers falling 7.9% year over year in June.

`michaeljburry.substack.com/p/trading-post-and-short-thoughts-to`

Kakashii Aug 20, 2026

CoreWeave is a contract-financed infrastructure company whose assets become technologically obsolete much faster than the buildings it leases, whose largest customers are competing clouds, and whose only GPU supplier is also an investor, customer…

`kakashiii111.substack.com/p/the-nvidia-spv-series-part-2-coreweave`

Kakashii Aug 20, 2026

Profitability requires mature deployments to fund the next build without another financing wave, a condition that has not yet been met and that revenue, backlog, and gigawatts rising alone do not prove common equity earns an attractive return after…

`kakashiii111.substack.com/p/the-nvidia-spv-series-part-2-coreweave`

Gaetano Sep 1, 2026

Hyperscalers face hard constraints on grid access, permitting, and environmental impact that are pushing them toward distributed multi-building or multi-campus architectures rather than single massive data centers in one location.

`gaetanoresearch.substack.com/p/we-need-to-talk-video-data-center`

Gaetano Aug 26, 2026

Carriers had already installed enormous amounts of fiber based on expectations that demand would keep outrunning supply, so when DWDM allowed each fiber to carry dramatically more capacity than expected, the remaining fiber pairs sat dark for years…

gaetanoresearch.substack.com/p/fiber-optics-boom-bust-is-it-going

Steve Eisman Sep 9, 2026

Data centers are proving more difficult and costly to build than expected, with gigawatt-scale projects running behind schedule, and every delay gives an already-unprofitable customer base more time to encounter financial strain.

realeismanplaybook.substack.com/p/inside-ais-fragile-ecosystem-with

THE STRONGEST CASE AGAINST THIS SIDE

Daniel Romero Sep 13, 2026

The ERCOT process will prove bullish in the medium and long term by rewarding serious data center operators and punishing speculative projects, allowing available power to be used more effectively.

Qualifies Steve Eisman on condition · hypertechinvest.com/p/portfolio-update-c24

6 VOICES

Scarcity as a moat

Ren Aug 25, 2026

AI data center buildout is bottlenecked by power delivery, not compute, since compute can be ordered faster than power can be delivered to a site.

renstocks.substack.com/p/should-you-buy-bloom-energy-now

Ren Aug 25, 2026

Bloom's real product is time-to-power rather than electrons, because stranding a multi-billion-dollar GPU cluster for 18-24 months costs far more than paying a premium for onsite electricity.

renstocks.substack.com/p/should-you-buy-bloom-energy-now

Daniel Romero Aug 28, 2026

The mismatch between how quickly compute can improve and how slowly physical infrastructure can be built is what drives the investment case for data-center stocks, because interconnection, transformers, turbines, generation, transmission, and…

hypertechinvest.com/p/the-safest-bet-in-the-ai-buildout

Daniel Romero Aug 28, 2026

Power is a key bottleneck in AI because rack power is rising sharply while grids, substations, transformers, and generation take years to expand.

hypertechinvest.com/p/the-safest-bet-in-the-ai-buildout

Edelbridge Alpha Aug 21, 2026

Despite extensive resident opposition on noise, water, and emissions grounds at the planning board hearings, Nebius's 350 MW Vineland, New Jersey data center site plan was still approved, showing there is no real 'war' against data centers.

edelbridge.substack.com/p/data-center-politics-is-forcing-a

Edelbridge Alpha Aug 21, 2026

Because a single data center campus represents a multi-billion dollar capital commitment, multi-year construction payroll, and permanent tax base addition, while incentives amount to only about 2% of construction investment in hyperscale counties...

edelbridge.substack.com/p/data-center-politics-is-forcing-a

THE STRONGEST CASE AGAINST THIS SIDE

Michael Spencer Aug 26, 2026

Polling data shows roughly 70 to 75 percent of Americans oppose building large datacenters near their homes, and more than half support a national moratorium, with opposition rising since spring 2026.

Contradicts Edelbridge Alpha on evidence · www.ai-supremacy.com/p/the-ai-backlash-is-accelerating-datacenters-2026

NOT A DISAGREEMENT

Everyone agrees power binds

Physics (Romero): 90,000 racks in 2027 need about 23 GW. Permission (Edelbridge): 26 projects blocked in Q1 2026 against 31 in all of 2025. Execution (Nebius): 5 GW contracted, 0.8 to 1 GW connected this year.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Edelbridge Alpha qualifies Daniel Romero on condition

Steve Eisman qualifies Gaetano on evidence

Edelbridge Alpha qualifies Daniel Romero on mechanism

Daniel Romero qualifies Ren on mechanism

Steve Eisman qualifies Daniel Romero on condition

Gaetano qualifies Daniel Romero on condition

Edelbridge Alpha qualifies Gaetano on mechanism

Edelbridge Alpha qualifies Gaetano on condition

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Dec 10, 2026 p06-t01 PENDING

ERCOT is due to verify its first large-load batch study; the cleared list shows whether Texas weeds out speculators or rations power.

Specification pending

December 2026 p06-t02 PENDING

Nebius must turn 800MW–1GW connected against 5GW contracted into Vineland revenue; commissioning and GPU fill test execution.

Specification pending

Next quarterly count p06-t03 PENDING

A second quarter near 26 blocked projects would turn a single data point into a permitting trend.

Specification pending

First cancellation p06-t04 PENDING

A hyperscaler cancelling for sufficient compute would turn the fiber analogy into evidence of overbuild.

Specification pending

Jan 1, 2029 p06-t05 PENDING

Bloom staying sold out while FuelCell Energy keeps signing would show scarcity has moved from the grid to factories.

Specification pending

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. Financial Modeling Prep - Nebius Q2 earnings call · financialmodelingprep.com/earning-call-transcript/NBIS/2026-q2
2. Financial Modeling Prep - CoreWeave Q2 earnings call · financialmodelingprep.com/earning-call-transcript/CRWV/2026-q2
3. a16z - The Machine Age Fund · www.a16z.news/p/the-machine-age-fund
4. a16z - Data-center capital charts · www.a16z.news/p/charts-of-the-week-winds-of-thematic
5. Prof G Markets - Michael Burry and a crash · www.profgmedia.com/p/michael-burry-says-a-crash-is-coming
6. Prof G - Why Panic About Data Centers? · www.profgmedia.com/p/why-panic-about-data-centers-josh
7. Doomberg - Value Trap · newsletter.doomberg.com/p/value-trap
8. Hypertech Invest - Data Center Positions · hypertechinvest.com/p/the-safest-bet-in-the-ai-buildout
9. AI Supremacy - Data-center opposition · www.ai-supremacy.com/p/the-ai-backlash-is-accelerating-datacenters-2026
10. a16z - Head In The Neoclouds · www.a16z.news/p/charts-of-the-week-head-in-the-neoclouds
11. Prof G - Tyler Cowen interview · www.profgmedia.com/p/tyler-cowen-the-ai-bears-are-asking

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call’s history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack’s. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 21, 2026. Canonical page: https://deepstack.ltd/stories/power-doesnt-depreciate/. Who is on each side: https://deepstack.ltd/sides/power-doesnt-depreciate/.

Analysis and opinion, not investment advice.